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JÖNKÖPING UNIVERSITY

L3: IT Service Management (ITSM)

Services and practices 2025

Value seems important; What is it?

Value according to ITIL V3 and ITIL V4?

ITIL VALUE3

Warranty + Utility = Value-created (OGC 2011)

Warranty

- Warranty describes how the service performs **(fit for use)**
- Ensure availability, capacity, security etc.
- Called '**fitness for use**' - i-s the ability of the service to operate reliably

Utility

- Utility describes what the service does (**fit for purpose**)
- Customer effect of service
- **'fitness for purpose'** involves the ability of the service to remove constraints or increase the performance of the customer.

ITIL 4

"The perceived benefits, usefulness, and importance of something" (Agutter 2020)

Value according to theory

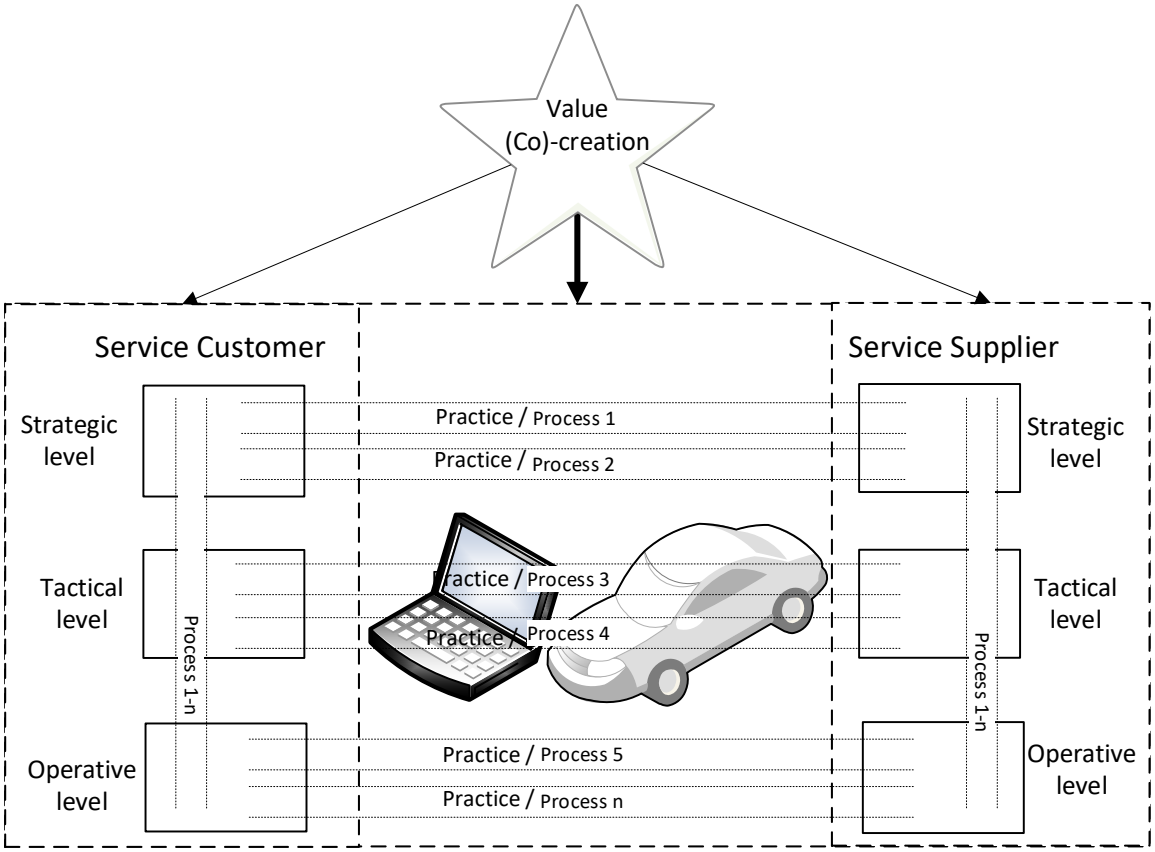
- **Value creation refers to the customer being "better off" when using a product or service** (Grönroos 2008)
- The key terms discussed in Service Dominant Logic (SDL) are ***value-in-use*** *and sometimes in SDL* ***value-in-context***. That is, value is enabled when someone uses recourses in a specific environment.
- We define value as value-in-use, created by the user (individually and socially), during usage of **resources and processes** (and their outcomes). (Grönroos et al 2013)
- The SD Logic assumes that value can be created for the customer solely by the ***use*** **of operant (i.e., knowledge and skills used)** and sometimes **operand (i.e., physical objects)** resources (operants can be used on operand resources).

Value according to theory

Value creation becomes an ongoing process that emphasizes the customer's experiences, logic, and ability to extract value out of products and other resources used (Grönroos et al 2013).

”A **value proposition** is a promise of **what** but also about **how** the company, customers and other partners co-create value” (Skålen et al. 2015)

Conceptual model of a value proposition.



What + How = value proposition

Different stakeholders creates different types of value

Stakeholder	Value example
Service consumer	Receives benefits, optimises costs and risks.
Service provider	Funding or loyalty from consumers, further business development, reputation enhancement.
Service provider employees	Job satisfaction, financial and non-financial rewards, personal development.
Society and community	Employment, taxes, corporate social responsibility initiatives.
Charity organisations	Financial and non-financial contributions.
Shareholders	Financial benefits, such as dividends.